

# Business Owner / Sales Director KPI Framework

Role scope: single business owner serving as the sales leader, with no direct reports. This structure focuses on the three top level sales KPIs that show current output, future pipeline strength, and how quickly pipeline becomes revenue.

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## Role

### Business Owner / Sales Director

This role should focus on three things:

- how much revenue sales is producing now
- how much real pipeline exists for future revenue
- how fast pipeline is turning into revenue

## 1. Closed Revenue

### What it is

The total value of new business closed in a given period.

This is the clearest outcome KPI for the owner. Sales exists to turn demand into revenue, so this has to be one of the top three.

### Supporting metrics

- **Deals closed:** Shows how many customers were won.
- **Average deal size:** Shows whether revenue is being driven by larger deals or just more volume.
- **Win rate:** Helps explain whether enough opportunities are converting into closed business.
- **Revenue by service line:** Shows which offers are actually selling and which are weak.
- **Revenue by lead source:** Helps show where the best revenue is coming from.
- **Proposal volume:** If revenue is low, this helps determine whether enough real selling conversations are even reaching the proposal stage.

### Why this matters

This is the final sales output. If this KPI is weak, the business owner knows sales is not producing enough actual dollars. Everything else in sales should ultimately support this number.

This KPI answers: **Are we actually closing enough business?**

## 2. Qualified Pipeline Value

### What it is

The total dollar value of real, qualified opportunities currently in the pipeline.

This should not include every lead or every conversation. It should only include deals that meet the company's standard for being real opportunities.

#### Supporting metrics

- **Qualified opportunity count:** Shows how many real revenue chances exist.
- **Average opportunity value:** Helps explain whether pipeline is large because of volume, deal size, or both.
- **Pipeline coverage against target:** Shows whether there is enough qualified pipeline to support the revenue goal.
- **Pipeline by stage:** Helps identify whether pipeline is balanced or stacked too heavily in early stages.
- **New qualified pipeline created:** Shows whether enough fresh pipeline is being added over time.
- **Lead to qualified opportunity conversion rate:** Helps explain whether leads are becoming real sales opportunities at a healthy rate.

#### Why this matters

Closed revenue tells you what already happened. Qualified pipeline tells you what is likely to happen next. Without this KPI, the business owner is always reacting too late.

This KPI answers: **Do we have enough real pipeline to support future revenue?**

### 3. Pipeline Velocity

#### What it is

The rate at which qualified pipeline turns into closed revenue.

This is the best third KPI because it combines volume, conversion, deal size, and speed into one number.

#### Supporting metrics

- **Qualified opportunity count:** More real opportunities can increase velocity.
- **Win rate:** If too few opportunities close, velocity drops.
- **Average deal size:** Larger deals increase the revenue output of the pipeline.
- **Average sales cycle length:** Longer cycles slow down how fast revenue comes through.
- **Stage to stage conversion rates:** Helps show exactly where opportunities are falling out.
- **Stage aging:** Shows where deals are sitting too long and slowing down the system.
- **Follow up speed:** Slow response and slow follow up often drag down movement through the pipeline.

#### Why this matters

Two businesses can have the same amount of pipeline, but one turns it into money much faster. That is why pipeline size alone is not enough. The owner also needs to know whether the sales engine is moving efficiently.

This KPI answers: **How fast is our pipeline turning into revenue?**

## How the three KPIs work together

- **Closed Revenue** tells you the output.
- **Qualified Pipeline Value** tells you future potential.
- **Pipeline Velocity** tells you how efficiently the sales engine is working.

Together, these three KPIs give the business owner a complete sales view without creating noise. They show what happened, what is likely to happen next, and how well the system is converting pipeline into revenue.